AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XI

ANNUAL EXAMINTAIONS (THEORY) 2024

Principles of Accounting Paper II

Time: 1 hours 50 minutes Marks: 60

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INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's Signature**

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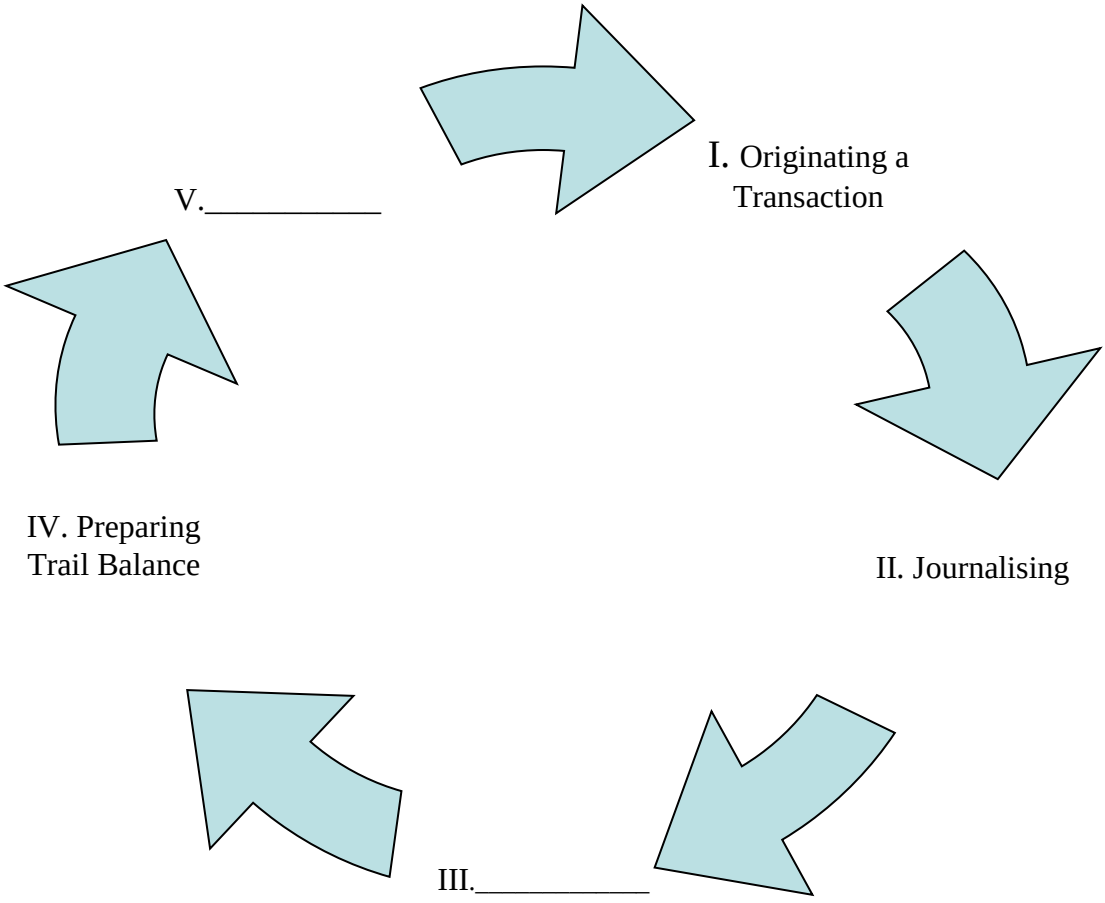
2. There are TWELVE questions. Answer ALL questions.
3. When answering the questions:

   Read each question carefully.
   Use only a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).
5. You may use a scientific calculator if you wish.
6. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

Q.1. (Total 2 Marks)

Complete the given accounting cycle.



Q.2. (Total 4 Marks)

Describe any FOUR steps of accounting cycle.

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Q.3. (Total 8 Marks)

During the month of May, Ghulam Traders completed the following transactions.

May 01, opening balance of cash in hand Rs 5,600 and cash in bank Rs 16,200.

May 06, received cheque from ABC Co. of Rs 1,450 and deposited the same into the bank.

May 10, issued a cheque to Ms Alina (trade supplier) of Rs 7,580 and paid her cash Rs 3,000.

May 15, withdrew cash Rs 850 from office for personal use and withdrew Rs 3,250 from the bank for office use.

May 22, deposited previously received cheque of Rs 2,500 into the bank.

May 30, deducted withholding tax of Rs 100 from the bank account.

Prepare the two-column cashbook in the given format.

Receipts					**Payments**				
Date	**Particulars**	**L.F**	**Cash**	**Bank**	**Date**	**Particulars**	**L.F**	**Cash**	**Bank**

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Q.4. (Total 6 Marks)

The following transactions are extracted from the books of A&A Associates.

Date	Transactions
01.	Invested cash in the business Rs 105,000
02.	Purchased merchandise for Rs 5,000 on cash
03.	Purchased merchandise for Rs 15,000 on account from Alpha Traders
04.	Sold goods for Rs 3,500 on cash
05.	Withdrew cash Rs 2,500 for office use from bank and Rs 1,500 for personal use
06.	Cash counter sales worth Rs 1,500.

Post the given transactions to the respective ledger accounts and perform footing and balancing in each ledger account.

(**Note**: Ignore account receivable and account payable ledgers.)

Cash Ledger							
Date	**Particulars**	**PR**	**Amount**	**Date**	**Particulars**	**PR**	**Amount**

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Sales Ledger							
Date	**Particulars**	**PR**	**Amount**	**Date**	**Particulars**	**PR**	**Amount**

Purchase Ledger							
Date	**Particulars**	**PR**	**Amount**	**Date**	**Particulars**	**PR**	**Amount**

Capital Ledger							
Date	**Particulars**	**PR**	**Amount**	**Date**	**Particulars**	**PR**	**Amount**

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Q.5. (Total 4 Marks)

The following has been data extracted from the ledgers of Maaz Traders.

Description	Amount	Description	Amount	Description	Amount
Bank loan	14,000	Insurance expense	7,300	Equipment	40,000
Marketable security	6,500	Owner's investment	95,000	Maintenance expenses	5,000
Bill payable	1,000	Rent expenses	400	Miscellaneous expenses	4,800
Unearned revenue	3,500	Allowance for depreciation equipment	14,000	Accrued expense	1,500
Sundry debtors	12,000	Accrued revenue	15,000	Depreciation expense equipment	2,000
Outstanding salaries	2,500	Machinery	25,000	Unexpired insurance	8,500
Prepaid rent	2,000	Drawing	3,500	Vendors payable	500

Prepare the trial balance for the given data.

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Q.6. (Total 2 Marks)

Differentiate between uncleared and unpresented cheque.

Particulars	Uncleared Cheque	Unpresented Cheque
Description		
Accounting treatment		

Q.7. (Total 4 Marks)

The cashbook of Afzal and Brothers showed a bank balance of Rs 15,000 on January 31, 2023. On the same date, the bank statement showed the balance of Rs 3,500 overdrawn.

The differences accounted for as follows:

a. Cheques of Rs 12,000 sent to creditors on January 31 2023, were not paid by the bank until February 08, 2023.
b. Cheques amounting to Rs 27,500 deposited to the bank on January 31, 2023 were not credited by the bank until February 02, 2023.
c. A standing order for a charitable subscription of Rs 6,000 had been paid by the bank on January 21, 2023 but no entry had been made in the cash book.
d. A cheque paid by Afzal and Brothers for rent on January 15, 2023 of Rs 16,000 had been entered in their cashbook as Rs 19,000.

Prepare the bank reconciliation statement.

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Q.8. (Total 4 Marks)

a. Define suspense account. (1 Mark)

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b. Mention any TWO reasons for opening a suspense account. (2 Marks)

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c. Give any ONE example for the use of suspense account in financial accounting. (1 Mark)

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Q.9 (Total 6 Marks)

The extract of the trial balance of Sameer Traders showed a salary expense of Rs 25,000.

Conditions for adjustment

Case 1 Salaries expenses for the year were Rs 36,000.
Case 2 Prepaid salaries on December 31, 2023 were Rs 18,000.
Case 3 Salaries expenses for the year were Rs 15,000.

Post the adjusting entries in the given format and mention the final balances in the given table.

(**Note**: Consider each of the given conditions separately.)

S. No.	Particular	P.R	DR	CR
Case 1				
Case 2				
Case 3				

	Statement of Affairs		Income Statement
	Prepaid Salary	**Salary Payable**	**Salary Expense**
Case 1			
Case 2			
Case 3			

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Q.10. (Total 10 Marks)

Following extract is the list of accounts for Jan Ltd. for the year 2023.

S. No.	Particulars	Debit	Credit
1	Cash	50,000	
2	Bank	250,000	
3	Account receivable	150,000	
4	Account payable		125,000
5	Opening stock	145,000	
6	Ending stock	185,000	
7	Sales revenue		450,000
8	Purchases	225,000	
9	Purchase discount		15,000
10	Purchase returns		10,000
11	Advertisement expense	35,000	
12	Transportation inwards	45,000	
13	Salary expense	15,000	
14	Insurance expense	55,000	
15	Commission income	35,000	

Prepare the Income Statement for the year 2023.

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S.No.	Particulars				

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Use the given information to answer Q.11 and Q.12.

The following records have been extracted from the non-current (fixed) assets register of Al-Ayan Associates as on January 01, 2022.

S. No.	Account Title	Cost (Rs)	Date of Purchase	Accumulated Depreciation (Rs)	Depreciation Method
1	Computers	750,000	January 01, 2020	450,000	Straight line @ 15%
2	Van	800,000	January 01, 2021	462,500	Diminishing balance 25%

On June 31, 2023, the business decided to dispose off computers at a scrap value of Rs 100,000.

Q.11. (Total 5 Marks)

Perform the following tasks for the given scenario:

- Compute the depreciation for 2022 and 2023.
- Compute the gain or loss on disposal of computers (non-current assets).
- Draw the general journal entry to record given transaction in the case.

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Date	Particulars	P.R.	Debit	Credit

Q.12. (Total 5 Marks)

On August 01, 2023, the business sold the van for Rs 300,000 cash.

Perform the following tasks for each of the given case:

- Compute the depreciation for 2023.
- Compute the gain or loss on disposal of van (non-current assets).
- Draw the general journal entry to record given transaction in the case.

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Date	Particulars	P.R.	Debit	Credit

END OF PAPER

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